Outdoor Holding Co. (POWW)

Pure-Play Marketplace Now

Analyst: Justin Wen

*Pure-Play Marketplace Now. Note the old ammo profile is gone: AMMO Inc. sold its ammunition division to Olin-Winchester for $75M in Aug 2025 and rebranded as Outdoor Holding Company. What remains is GunBroker.com, the largest online firearms marketplace [8-K]. Real Turnaround Numbers. Q1 FY27: revenue +21.7% to $14.48M, adjusted EBITDA +152% to a record $7.9M, net income +$3.6M, operating cash flow +$4.4M, gross margin ~85% [8-K]. Management cut $6.7M of quarterly opex in the transformation. Market Prices Pessimism. At $2.18 [Mkt 17-Oct-26], the reverse DCF implies -2.4% CAGR, decline priced in. Our DCF base is $3.50 (+60.6% upside) with the bear case $2.31 still above the price. Small-cap skepticism on liquidity is warranted, but the gap is real. Our framework screens it as a **Buy** with a $3.62 blended target, 66% above the current price.*

BUY	$3.62	+66%	$2.18
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Real Turnaround Numbers. Q1 FY27: revenue +21.7% to $14.48M, adjusted EBITDA +152% to a record $7.9M, net income +$3.6M, operating cash flow +$4.4M, gross margin ~85% [8-K]. Management cut $6.7M of quarterly opex in the transformation.

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$14.48M	$7.9M	$3.57M	$223.7M	$4.4M	4
REVENUE (Q1 FY27)	ADJUSTED EBITDA (Q1 FY27)	NET INCOME (Q1 FY27)	GMV (Q1 FY27)	OPERATING CASH FLOW (Q1 FY27)	COVERING ANALYSTS

The moat is structural

GunBroker.com dominance: largest online firearms marketplace, firearm units sold +11.6% vs NICS +5.3%

Three scenarios make the valuation range explicit

The DCF values Outdoor Holding Co. across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$2.28**	+5%
Base	50%	**$3.44**	+58%
Bull	25%	**$5.33**	+144%

Bear ($2.28, +5%): Growth disappoints and multiples compress; the $2.28 target marks the downside case.

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Bull ($5.33, +144%): Execution compounds and the multiple rerates; the $5.33 target marks the upside case.

The probability-blended target implies +66% upside

Blended target: $3.62 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +66% upside from the $2.18 reference price.

$3.62

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (trailing) 72.7x [Mkt 17-Oct-26] P/S 5.0x, P/B 1.1x [Mkt 17-Oct-26] DCF Base $3.50, +60.6% upside [DCF] Trailing P/E is meaningless off a depressed base; EV is ~3.5x sales ex-cash. The DCF says the price undervalues even a modest take-rate expansion.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $3.62 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

GunBroker.com dominance: largest online firearms marketplace, firearm units sold +11.6% vs NICS +5.3% [8-K]

New FFL transfer fee revenue stream launched FY2027, plus take-rate expansion on seller services [8-K]

Asset-light marketplace at 85%+ gross margins with ~$66M cash and minimal debt [8-K]

What to monitor

16-Nov-2026. Q2 FY27 Earnings (Positive): Q1 beat with +22% revenue and record adjusted EBITDA $7.9M; watch for continued GMV and take-rate expansion.

FY2027. FFL Transfer Revenue (Positive): New fee stream launched at start of FY27, already contributing to take rate in its first quarter.

FY2027. Buyback Program (Two-Sided): $15M authorization (up to 7.7% of shares); signals management views shares as cheap but consumes cash.

$14.48M	$7.9M	$3.57M	$223.7M
REVENUE (Q1 FY27)	ADJUSTED EBITDA (Q1 FY27)	NET INCOME (Q1 FY27)	GMV (Q1 FY27)

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2026	$51M	$45M	$-4M
2025	$49M	$43M	$-131M
2024	$54M	$46M	$-17M
2023	$63M	$54M	$-9M

Key risks

Cyclical Demand. GunBroker revenue moves with firearm demand and NICS checks. The Virginia legislation pull-forward was explicitly described by management as a one-off that will not repeat in Q2 FY27. [8-K]

Thin Liquidity. Average daily traded value is only ~$1.2M, and institutional ownership is concentrated (Balentine 14.9%, Kanen 9.9%). Building or exiting a meaningful position moves the price. [Mkt 17-Oct-26]

Short Transformation History. The company sold its ammo division in Aug 2025, settled Delaware litigation, and replaced leadership. The pure-play marketplace story is barely a year old, with warrants and promissory notes still outstanding from the settlement. [8-K]

Investment view

Q2 FY27 earnings on Nov 16, 2026 are the next test: another quarter of 15-20% GMV growth with rising take rate would pull the price toward the $3.50 DCF base. A NICS slowdown or a stalled FFL/payment rollout would compress the growth story back toward the bear case.

Buy. The $3.62 blended target implies +66% upside, balancing the $2.28 / $3.44 / $5.33 Bear / Base / Bull targets.

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Upcoming catalysts

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